

What Makes Uninformed Traders Tick?

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Big Question

Are prices more or less efficient when information is more widely disseminated?

Are prices more or less efficient when more uninformed investors participate?

Main Question of this Paper

Do firms located in states with increasing ticker subscriptions also see an increase in their stock's price efficiency?

Answer

Firms in states with increasing ticker subscriptions experience a decrease in price efficiency.

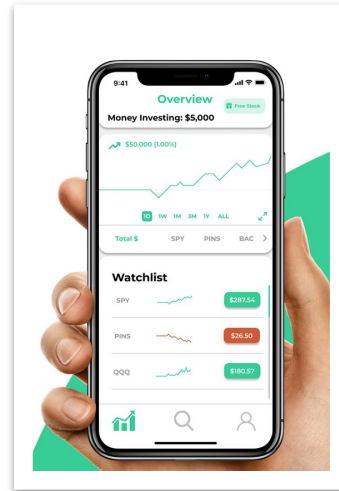
Table 3 - Return continuation increases with ticker subscriptions.

Panel B: Weekly Returns

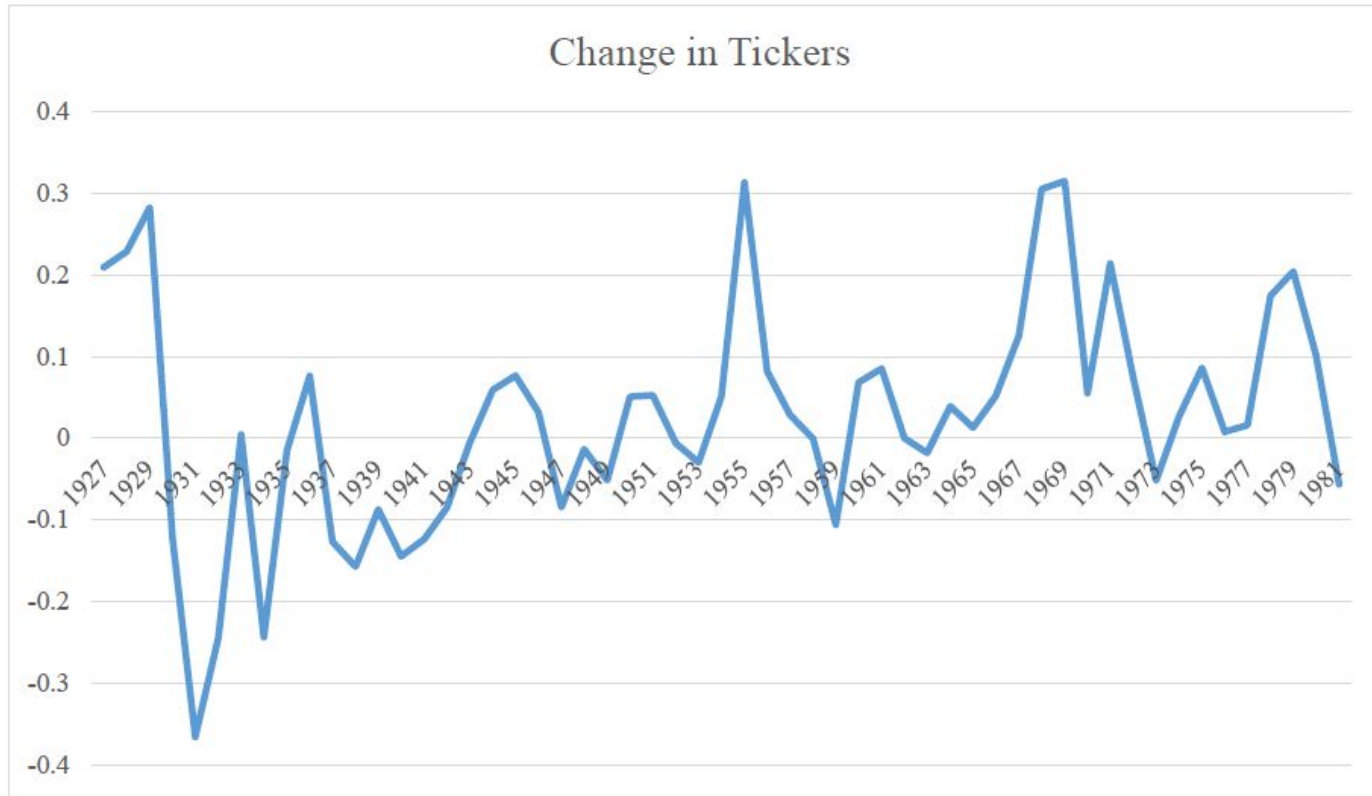
	Return						
Δ Tickers	0.0003** (2.16)	0.0003** (2.18)	0.0001 (0.95)	0.0001 (0.79)	0.0001 (0.97)	0.0002 (1.02)	0.0002 (1.00)
Lag Return		-0.0686*** (-29.05)	-0.0676*** (-30.01)	-0.0655*** (-28.44)	-0.0531*** (-19.82)	-0.0534*** (-20.03)	-0.0534*** (-19.99)
Lag Return $\times$ Δ Tickers			0.0364*** (5.64)	0.0406*** (6.19)	0.0354*** (4.16)	0.0356*** (4.22)	0.0360*** (4.22)
Δ Volume				0.0043*** (25.07)	0.0043*** (25.18)	0.0043*** (25.03)	0.0043*** (24.91)
Lag Return $\times$ Δ Volume					0.0346*** (8.14)	0.0344*** (8.16)	0.0347*** (8.15)
Spread							0.0021 (1.41)
Firm Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	2,574,853	2,572,977	2,572,977	2,572,977	2,570,336	2,572,977	2,570,336
R-squared	0.0061	0.0108	0.0109	0.0165	0.0201	0.0197	0.0198
Number of Firms	2,336	2,335	2,335	2,335	2,334	2,335	2,334

Setting the Stage

- ▶ Ticker subscriptions as an example of disseminating information.
 - ▶ Could be thought of as making investing more accessible to the lay person.
- ▶ Are there similarities to our day?
 - ▶ Robinhood
 - ▶ Zero-Commission Trades



Setting the Stage



- ▶ Why increases, decreases, spikes?
- ▶ New technology? Lower costs?
- ▶ How many in 1927, 1950, 1981?
- ▶ How many in NYC? How many in College Station, Texas?

Setting the Stage

	ΔTickers						
ΔVolume	-0.0016 (-0.08)	-0.0040 (-0.19)	-0.0047 (-0.22)	-0.0049 (-0.23)	-0.0046 (-0.22)	-0.0044 (-0.21)	0.0368 (0.82)
Return		0.0256 (0.50)	0.0211 (0.42)	0.0212 (0.42)	0.0120 (0.23)	0.0120 (0.23)	0.0110 (0.11)
Spread			-0.5772* (-1.91)	-0.5854* (-1.91)	-0.5726* (-1.86)	-0.5730* (-1.87)	-2.4090 (-0.65)
Listings				0.0002 (0.52)	0.0001 (0.32)	0.0001 (0.37)	-0.0014 (-1.41)
ΔListings					-0.0111 (-0.17)	-0.0122 (-0.18)	-0.1263 (-1.22)
ΔPopulation						0.1778 (0.72)	1.4446* (1.73)
ΔGSP							-0.5468* (-1.88)
State Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	1,630	1,630	1,630	1,630	1,593	1,593	611
R-squared	0.3624	0.3626	0.3636	0.3637	0.3626	0.3628	0.2076
Number of States	40	40	40	40	40	40	38

- Lags
- Market Return and Δ Tickers at the National Level
- GDP Growth
- Per-capita income per state

Main Result and Suggestions

Panel B: Weekly Returns

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- ▶ “A one standard deviation increase in ticker subscription growth results in the subsequent week’s return being $0.036 \times 0.26 \times R$ instead of $-0.0534 \times R$. This weekly return difference of $0.0628 \times R$.”
- ▶ Shouldn’t this be $0.044 \times R$?

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- ▶ Return continuation increases with increased ticker subscriptions; price efficiency declines...
- ▶ ...but couldn't we also state that more ticker subscriptions reduce reversals; price efficiency improves?

Main Result and Suggestions

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- Consider standardizing the variables to more easily compare β_2 and β_3 .
- Consider the use of Hou and Moskowitz's Price Delay measure as dependent variable.

Additional Comments

- Regional analysis
 - ▶ How does this relation work in different regions of the U.S.?
 - ▶ Can we leave out New York and run this again?
- ▶ Period analysis
 - ▶ 1927-1981 is a long period.
 - ▶ Split this up and see if the relation changes through time.
 - ▶ Maybe the importance/effect of ticker subscriptions is different between 1933 and 1977.
- ▶ Can you do this analysis with $\Delta Brokers$ instead of $\Delta Tickers$?

Overall

- ▶ Very interesting paper.
- ▶ Very interesting use of historical information.
- ▶ Very relevant paper with relevant implications.
- ▶ Consider expanding pitch a bit, providing more detail on what explains ticker subscriptions, and use other measure of price efficiency.